

and its clients. We did our best to avoid measurement with quantitative goals and statistical achievements. Vanguard's market share, as I've said countless times, must be a *measure*, not an *objective*; it must be *earned*, not *bought*. Yet the fact is that our market share of fund industry assets has risen, without interruption, for the past 28 years.

Our strategy arose from a conviction that the best corporate growth comes from putting the horse of doing things for clients ahead of the cart of earnings targets. *Growth must be organic, rather than forced*. No company, of course—and certainly not one as huge as Vanguard is today—can ignore numbers altogether, but I've often noted the extremes in management style between companies that *trust* and companies that *count*, and I fervently hope that anyone who has ever worked for Vanguard includes our company among the former. For my part, I've tried to reinforce the point over the decades with an aphorism that I've seen posted at countless desks throughout our now seemingly countless buildings:

For God's sake, let's always keep Vanguard a place where judgment has at least a fighting chance to triumph over process.

The Spirit of Trust

My faith in trust goes back to the Golden Rule. We are, after all, implored in the Bible to love our neighbors, not to quantify their character; and to do unto them as we would have them do unto us, not to do unto them in exact equal measure what they have done to us. At Vanguard, our own patron saint the great British naval hero Lord Horatio Nelson, captain of the *HMS Vanguard* and an unparalleled molder of men, reaffirms this Golden Rule. Here's how Nelson was described in a sermon that my wife, Eve, and I heard in St. Paul's Cathedral in London on October 23, 2005, the 200th anniversary of his death at the Battle of Trafalgar: